

Earning Money



How can we earn
money?

Salary

- Fixed amount paid per annum.

ENGINEERING

Hudson
Great people. Great performance.

Graduate/Junior Structural Engineer

We are working closely with a renowned Civil and Structural Engineering consultancy in Perth, Western Australia. They have a successful track record

23 Feb 2017

Location:

Perth ▶ CBD, Inner & Western Suburbs

Salary:

\$60k - \$70k p.a.

Work type:

Full Time

Classification:

Engineering ▶ Civil/Structural Engineering

Salary - \$66,500 p.a.

- Paid **monthly** = \$65,000 $\div$ 12 = \$5,541.67 per month
- Paid **fortnightly** = \$65,000 $\div$ 26 = \$2,557.69 per fortnight
- Paid **weekly** = \$65,000 $\div$ 52 = 1,278.85 per week

Wages

- Paid by a particular quantity of work– could be hourly rate, piecework or commission, not a set annual salary.
- Hourly rate
 - Particular quantity – hour
 - e.g. \$24 per hour,
 - Higher rate if over normal hour
 - working over 8 hours per day
 - working on Saturday and Sunday

Mon

Tue

Wed

Thu

Fri

Sat

Sun

Weekdays:

- Normal hourly rate for the first 8 hours
- Additional time – overtime, 1.5 hourly rate

Weekend:

- Saturday – 1.5 hourly rate
- Sunday – 2.0 hourly rate

	Wage Slip for: JEMIMA QUEK				
	Total Hours worked	Normal hours worked	Time & a half hours worked	Double time hours wroked	Earnings
		\$23.40 /hour	\$35.10 /hour	\$46.80 /hour	
Mon	8	8	0	0	\$187.20
Tue	8	8	0	0	\$187.20
Wed	9	8	1	0	\$222.30
Thu	10	8	2	0	\$257.40
Fri	8	8	0	0	\$187.20
Sat	4	0	4	0	\$140.40
Sun	4	0	0	4	\$187.20
		Total earnings for the week:			\$1,368.90

Wages - piecework

- Quantity
 - Not hourly
 - Could be a piece of work
 - Examples:
 - Picking fruits – paid by mass of fruits they pick
 - Number of T-shirts a worker sown per day
 - Packing hamper during Christmas – paid by number of hampers packed

Examples

- A backpacker earns his living by picking grapes. He is paid \$0.80/kg of grapes he picked. How much would he made if he picked 80 kg in 2 hours?

$$\$0.8 \times 80 = \$64$$

He made \$64

Wages - commission

- Based on the sale price (fess charged by some business for selling an item)
 - e.g. selling real estate
- Could also be based on the quantity of sales
 - e.g. selling cars – number of cars sold.
- Commissions are usually a PERCENTAGE of the values of the sales

Examples

- Richard, a real estate agent charge 2% as a commission from the sales price of the real estate he sells. If he sold a house for \$825,000, what is his commission?

$$\begin{aligned}\text{Commission} &= \$825,000 \times 2\% \\ &= \$16,500\end{aligned}$$

His Commission is \$16,500

Examples

- A car salesman is paid a retainer of \$2000 per month and a commission of 2.1% of the total sales in a month. If he sold a total of \$210,000 in January, how much would he make?

$$\text{Commission} = \$210,000 \times 2.1\%$$
$$= \$4,400$$

$$\text{Retainer} = \$2,000$$
$$\text{Total} = \$6,400$$

He made \$6,400 in January

Example – stepped commission

An auction house charged the following commission:

- 5% of the first \$10,000
- 2% of the next \$15,000
- 1% of the next \$15,000
- 0.5% thereafter.

What would the commission be if the auction house sold an antique vase for \$50,000?

First \$10,000

$$\text{Commission} = \$10,000 \times 0.05 \\ = \$500$$

Next \$15,000

$$\text{Commission} = \$15,000 \times 0.02 \\ = \$300$$

Next \$15,000

$$\text{Commission} = \$15,000 \times 0.01 \\ = \$150$$

Last \$10,000

$$\text{Commission} = \$10,000 \times 0.005 \\ = \$50$$

The commission is

$$\$500 + \$300 + \$150 + \$50 = \$1,000$$



Tax rates 2016–17

Table obtained from the Australian Taxation Office website.

The following rates for 2016–17 apply from 1 July 2016.

Taxable income	Tax on this income
0 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$87,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$87,001 – \$180,000	\$19,822 plus 37c for each \$1 over \$87,000
\$180,001 and over	\$54,232 plus 45c for each \$1 over \$180,000

The above rates **do not** include the:

- › Medicare levy of 2%
- › Temporary Budget Repair Levy; this levy is payable at a rate of 2% for taxable incomes over \$180,000.